

AI-LOS Loan Origination Policy

Training Simulation Policy — Version 1.0

Policy ID	LOS-POL-001
Status	Approved for training use
Scope	Personal-loan origination workflow
Purpose	Policy context for eligibility and AI-assisted policy review
Decision boundary	AI output is advisory only; a human manager makes the final decision

1. Policy Principles

POL-PL-01 — Mandatory application, document, and eligibility requirements must be satisfied before an application proceeds through review.

POL-PL-02 — Deterministic business rules are authoritative for eligibility. AI must not replace them.

POL-PL-03 — AI recommendations are advisory and must not approve, reject, or change application workflow state.

POL-PL-04 — Every policy-grounded AI claim must reference the policy chunk or source supporting it.

2. Applicant and Application Eligibility

POL-EL-01 — Applicant age must be at least 21 years at the applicable eligibility check.

POL-EL-02 — Applicant age at loan maturity must not exceed the maximum maturity age configured for the selected loan product.

POL-EL-03 — Requested loan amount must be within the minimum and maximum amount configured for the selected product.

POL-EL-04 — Requested tenure must be within the minimum and maximum tenure configured for the selected product.

POL-EL-05 — Debt-to-income (DTI) is calculated by deterministic application code using the configured business rule. The LLM must not calculate DTI.

3. Document and Submission Policy

POL-DOC-01 — The required-document checklist is determined by the selected loan product.

POL-DOC-02 — Submission is allowed only when all mandatory documents in the applicable checklist are present.

POL-DOC-03 — Document type and file-size restrictions must be enforced by the application API.

POL-DOC-04 — Missing mandatory information or documents means the application is not complete.

4. Officer Review

POL-REV-01 — A Loan Officer reviews application data and documents after submission.

POL-REV-02 — The officer may request clarification when information is missing or contradictory.

POL-REV-03 — The officer records a non-blank recommendation and rationale.

POL-REV-04 — An AI recommendation may be accepted, edited, or rejected by the officer.

5. AI Policy Review

POL-AI-01 — AI policy review may use only approved policy context retrieved for the application.

POL-AI-02 — AI must identify relevant risk flags, explain reasons, and cite policy chunks supporting its claims.

POL-AI-03 — If policy context is insufficient or missing, AI should return REVIEW rather than invent a rule.

POL-AI-04 — Allowed advisory outcomes are PROCEED, REVIEW, and DECLINE.

POL-AI-05 — AI output must state that it is advisory and human approval is required.

6. Manager Decision

POL-MGR-01 — The Manager records the final training decision and rationale.

POL-MGR-02 — A Loan Officer cannot make the final Manager decision.

POL-MGR-03 — An AI override retains the AI outcome, final human outcome, and override reason in the audit trail.

POL-MGR-04 — Final decisions are immutable; corrections require a new event.

7. AI Safety and Governance

POL-GOV-01 — AI output must be schema-validated before exposure to the workflow.

POL-GOV-02 — Prompt context must be allow-listed and separated from system instructions.

POL-GOV-03 — AI failures or timeouts must not change application workflow state.

POL-GOV-04 — AI invocations must be attributable to a model and prompt version and retained for audit.

Synthetic training data only. This document does not represent a real lender's credit policy and must not be used for real-world lending decisions.